

RG Enterprises Risk Management Plan

OVERVIEW

Risks Galore Enterprises is at a critical junction in its history, facing many risk events at one time that could ruin the company if not properly managed. The risks the organization faces are both explicitly named in the case study and implicit given the nature of its vulnerable state. The explicit risks that RG Enterprises are:

1. Financial risk due to the cost of the eCommerce website
2. Reputational risk due to the outages of the eCommerce website
3. Legal risk due to the copyright related to the use of Lady Gaga on the T-shirt
4. Legal risk due to the libel lawsuit related to the use of a politician's face on the T-shirt
5. Legal and Financial risk due to lack of money to make payroll
6. Legal risk due to the lawsuit from the state of Illinois for not collecting sales tax
7. Operational and reputational risk due to the use of Black Henna paste
8. Physical risk due to the forecasted flooding
9. Legal risk due to the CEO's cousin (their "legal advisor") having a DUI

These explicit risk events are the consequence of several key decisions RG Enterprises made, including the choice of the type and design of the merchandise it sells, taking their products to a broader market, using an offshore eCommerce website, using black Henna paste, choosing a headquarters near a river, and using the CEO's dubious cousin as their legal advisor. Because of these decisions and their consequences, RG Enterprises also faces several implicit risks. Some of the various implicit risks that RG Enterprises faces are:

- A. Strategic risk due to lack of sales of "predicted to be most popular" T-shirt design
- B. Regulatory risk due to the eCommerce site mishandling IL (only?) sales tax collection
- C. Cybersecurity and Regulatory risk due to the potential breach of the eCommerce site

These implicit risks show the extensive attack surface that RG Enterprises has created for itself, warranting a thorough Risk Management Plan to be created for the business. This Risk

Management Plan will identify and contextualize each of the mentioned risks, give them a severity rating with explanation, and give plans for mitigating the risks and monitoring the mitigations.

RISK IDENTIFICATION

To create a comprehensive mitigation plan, a thorough understanding of the twelve listed risks is necessary. This section of the Risk Management Plan will identify and describe each of the aforementioned risks that RG Enterprises faces.

1. Financial risk due to the cost of the eCommerce website

The case study states that the cost of the eCommerce site is already more than 5 times its yearly marketing budget. The astronomical cost of the site is part of the reason RG Enterprises may not have enough money to make its payroll. The eCommerce site is bleeding the company dry, leaving very little funds for critical business operations and posing a significant financial risk.

2. Reputational risk due to the outages of the eCommerce website

According to the case study, the eCommerce site has experienced periodic outages. These outages can annoy customers at best and lose sales or customers at worst. Disgruntled customers may even spread the word that the company's site is unreliable or complain about it online. These would create damage to the company's reputation.

3. Legal risk due to the copyright related to the use of Lady Gaga on the T-shirt

RG Enterprises is facing a copyright infringement lawsuit from Lady Gaga's management company due to the use of her song title and image on a T-shirt. This is a clear example of a legal risk event. With the company's current financial strain, this lawsuit poses a serious risk to its solvency and might even open it up to further lawsuits if it used other copyrighted material in the past.

4. Legal risk due to the libel lawsuit related to the use of a politician's face on the T-shirt

The libel lawsuit from the Proletariat party member, like the Lady Gaga copyright lawsuit, is a legal risk event. This lawsuit could have dire financial implications for the

business as well as possibly expose the company to other similar lawsuits given its history of making politically charged merchandise.

5. Legal and Financial risk due to lack of money to make payroll

RG Enterprises “may not have the cash on hand” to make payroll. Failing to make payroll might cause the employees to quit or sue the company and plunge it into further legal turmoil. This poses both legal and financial risk to the company.

6. Legal risk due to the lawsuit from the state of Illinois for not collecting sales tax

The existence of this lawsuit is a pretty self-explanatory risk event for the company. Collecting sales tax is a legal requirement, and the lawsuit’s existence implies that RG Enterprises did not collect sales tax for Illinois customers. The lawsuit could have severe consequences for the company.

7. Operational and reputational risk due to the use of Black Henna paste

If RG Enterprises really used Black Henna paste, the company would take a reputational hit for not alerting its customers. It would also probably have to cease operations to change out the dye and maybe even face consequences from its employees as well. Though only a nuisance, as the dye is not toxic, it would still have a meaningful impact.

8. Physical risk due to the forecasted flooding

There is a prediction of ‘historic’ flooding of the Red River for the next 2-4 weeks, where RG Enterprises is headquartered. A flood could cause an extended halt to business operations at best, which RG Enterprises cannot afford, and catastrophic loss of assets, property, and inventory at worst. This physical risk could have a huge impact on the company.

9. Legal risk due to the CEO’s cousin (their “legal advisor”) having a DUI

The CEO’s cousin is currently being detained under suspicion of a DUI. If found guilty, any legal aid ever provided to RG Enterprises by this individual would be subject to scrutiny and potentially expose RG Enterprises to further legal trouble.

A. Strategic risk due to lack of sales of “predicted to be most popular” T-shirt design

This implicit risk is tied to RG Enterprises’ corporate strategy. The company recently began sales nationwide, outside of its traditional market. This implies the business was trying to grow by going after a larger market. It also implies that the company believed that its products would have widespread appeal. Yet less than 5% of the pre-produced Government Hooker T-shirts have sold. This design was predicted to be the company’s most popular design. The prediction indicates that the design was a deliberate strategic choice, and the lack of sales indicates that RG Enterprises’ strategy is not working. If not remedied, this strategy could bankrupt the company.

B. Regulatory risk due to the eCommerce site mishandling IL (only?) sales tax collection

This implicit risk is related to how the eCommerce site was set up. The Illinois sales tax lawsuit indicates that the company did not adequately collect sales tax for Illinois customers. The company likely sold to Illinois clients through the new eCommerce website, which means the site may not have been built to collect sales tax. If it was not built to collect sales tax, RG Enterprises might legally be on the hook for not paying sales tax for many more states than just Illinois.

C. Cybersecurity and Regulatory risk due to the potential breach of the eCommerce site

This implicit risk is rooted in third-party risks from the eCommerce site. There is a possibility that the eCommerce site does not store customer or payment data securely. It might even use a third-party vendor to store payment or personal data from customers, increasing the risk of a data breach. This opens RG Enterprises to cybersecurity and regulatory risks.

RISK SEVERITY

Each of the identified risks have a severity level of Low, Medium, High, or Extreme, identified through a Risk Matrix that is a function of the risk event’s likelihood and impact. The Risk Matrix below contains all of the mentioned risks, assigning them a severity level, followed by an explanation and justification of the severity level.

RG Enterprises Severity of Risks

Likelihood > Impact v	Very Unlikely	Unlikely	Possible	Likely	Definite
Catastrophic	Medium Risk	High Risk	Extreme Risk C	Extreme Risk B	Extreme Risk 3 6
Critical	Low Risk	Medium Risk	High Risk 8	Extreme Risk 5	Extreme Risk 1 A
Moderate	Low Risk	Medium Risk	Medium Risk 7	High Risk	Extreme Risk 4
Marginal	Low Risk	Low Risk	Medium Risk 9	Medium Risk	High Risk 2
Insignificant	Low Risk	Low Risk	Low Risk	Medium Risk	Medium Risk

Risk Key:

- | | |
|---|---|
| 1. Financial risk: eCommerce site costs | 7. Operational risk: black Henna paste |
| 2. Reputational risk: eCommerce site outages | 8. Physical risk: flooding forecast |
| 3. Legal risk: Lady Gaga content copyright | 9. Legal risk: CEO's cousin - "legal advisor" |
| 4. Legal risk: politician libel lawsuit | A. Strategic risk: T-shirt design flop |
| 5. Legal & Financial risk: can't make payroll | B. Regulatory risk: site mishandled sales tax |
| 6. Legal risk: IL state tax lawsuit | C. Cybersecurity risk: potential breach of site |

JUSTIFICATION

1. Financial risk due to the cost of the eCommerce website – **Extreme**

The likelihood of this risk event is Definite and its impact is Critical. According to the Risk Matrix, that makes the severity score of this risk **Extreme**. The case study explicitly states that the cost of the eCommerce site has been over 5 times its yearly marketing budget – a huge expense for the business. The cost will continue to rise if the company ignores this risk. The cost of this investment is a contributing factor to another risk – RG Enterprises may not have enough money to make its payroll. A lack of cash would mean the company couldn't pay for new materials, inventory, or labor. Though these would not immediately end the company, their impact is Critical.

2. Reputational risk due to the outages of the eCommerce website – **High**

The likelihood of this risk event is Definite and its impact is Marginal. That makes the severity score of this risk **High**. The case study explicitly mentions that there have been periodic outages of the eCommerce site, meaning that either the company or its customers must have experienced or at least noticed the outages. Though the most serious consequence of an outage is a loss of customer or income, it is likely that a customer would just try to purchase again through the site later, greatly reducing the impact of the risk. Still, causing a nuisance to customers is not ideal, making the impact of this risk Marginal.

3. Legal risk due to the copyright related to the use of Lady Gaga on the T-shirt – **Extreme**

The likelihood of this risk is Definite and its impact is Catastrophic. That makes the severity score of this risk **Extreme**. The case study says that RG Enterprises received notice of three lawsuits, one of which is a copyright infringement lawsuit from Lady Gaga's management company, meaning the likelihood of this risk is Definite. Losing or settling a lawsuit like this could cost the company millions of dollars, and the case study implies that the company would not have sufficient funds to cover the financial liability of this scenario. With a history of making politically charged merchandise, there is also a solid chance that this design is not the first that has used copyrighted materials without permission, opening the company up to further legal action from others. Since any legal settlement or loss would bankrupt the company, the impact of this risk is Catastrophic.

4. Legal risk due to the libel lawsuit related to a politician's face on the T-shirt – **Extreme**

The likelihood of this risk is Definite and its impact is Moderate. That makes the severity score of this risk **Extreme**. The case study mentions that there is libel lawsuit from the Proletariat party member, meaning that the likelihood is Definite. Just like the Lady Gaga copyright lawsuit, there is a strong likelihood that a loss in court or a settlement would bankrupt the company. However, there is likely to be more legal leeway insofar as free speech is involved in this case, making the impact of this risk less than the copyright lawsuit. Therefore, since there may be more legal wiggle room, the impact of this risk is Moderate and not higher.

5. Legal and Financial risk due to lack of money to make payroll – **Extreme**

The likelihood of this risk is Likely and the impact is Critical. That makes the severity score of this risk **Extreme**. The wording of the case study is that RG Enterprises “may not have the cash on hand” to make payroll. This reduces the likelihood from Definite to Likely, since the current financial situation described in the case study also insinuates that the likelihood is higher than just Possible. If RG Enterprises cannot make its payroll, it may lose its workforce, face lawsuits from their employees, and face fines for failing to pay taxes. These consequences, though severe, would not immediately end the company. This makes the impact on the business Critical.

6. Legal risk from the Illinois sales tax lawsuit – **Extreme**

The likelihood of this risk is Definite and its impact is Catastrophic. That makes the severity score of this risk **Extreme**. The lawsuit exists, so the likelihood of this risk is Definite. The impact of this risk is Catastrophic because the company likely does not have the assets to cover fines, settlements, or penalties levied by the government for breaking this law – meaning that this risk would likely end the company.

7. Operational and reputational risk due to the use of Black Henna paste – **Medium**

The likelihood of this risk is Possible and its impact is Moderate. That makes the severity score of this risk **Medium**. The case study is unclear about whether or not the company uses the dye, just that it is being accused of using this dye. The likelihood of this risk is best described as Possible. Black Henna paste dyes skin for an extended period of time, though it is not toxic or permanent, making an accidental staining a nuisance but not a danger. This could lead to a loss of customers and potentially a lawsuit. Furthermore, the use of this dye may have put its own employees at risk, adding an operational dimension to the risk event, making the impact of this risk Moderate.

8. Physical risk due to the forecasted flooding – **High**

The likelihood of this risk is Possible and the impact is Critical. That makes the severity score of this risk **High**. Weather forecasts are reliable, but not always 100% accurate.

According to the case study, the prediction of flooding is for the next 2-4 weeks. In the time between now and then, the weather pattern could change. It also is possible that the river may flood elsewhere and not at the headquarters of RG Enterprises. Still, the likelihood of the risk is Possible, almost Likely. If there really was flooding at RG's headquarters, the minimum impact would be an extended halt to business operations, which it cannot afford, and the maximum impact would be catastrophic loss of assets, property, and inventory. The intensity of the minimum and maximum possible impact makes the total impact Critical.

9. Legal risk due to the CEO's cousin (their "legal advisor") having a DUI – **Medium**

The likelihood of this risk is Possible and its impact would be Marginal. That makes the severity score of this risk **Medium**. Though the CEO's cousin is currently being detained under suspicion of a DUI, there is no guarantee that the business would be in legal trouble due to the lawyer's illegal behavior. That being said, it certainly is possible that any legal aid this individual has ever provided to RG Enterprises would be called into question. This means the legal risk's likelihood is Possible. The case study does not really name the services rendered by this individual other than to say he has been used when legal questions arise. This reduces the impact of this legal risk to Marginal.

A. Strategic risk due to lack of sales of "most popular" T-shirt design – **Extreme**

The likelihood of this implicit risk is Definite and its impact Critical. That makes the severity score of this risk **Extreme**. The company has sold less than 5% of the Government Hooker T-shirts, making this a strategic misstep. The lack of sales is stated in the case study, making this risk's likelihood Definite. The company recently began to sell outside its initial market of North Dakotans, taking their business to the national level. The prediction that this shirt would be the most popular design means that this was a decision that was consciously made with the new customer base in mind. The colossal lack of sales indicates that RG Enterprises' strategy is not appropriate for its new market, and this same lack of sales has contributed to its lack of cash on hand. Choosing to make this type of product, traditionally marketed to North Dakotans (and successfully so, since

the business still exists), and selling it on a national level is a big flop of a strategy, and the financial straits it has caused make the impact of this strategic risk Critical.

B. Regulatory risk due to the site mishandling IL (only?) sales tax collection – **Extreme**

The likelihood of this implicit risk is Likely and its impact Catastrophic. That makes the severity score of this risk **Extreme**. The company traditionally made its product for local customers in North Dakota and likely did not make any sales to Illinois customers until it put its eCommerce website in place. Since the Illinois-based sales likely went through the eCommerce website, and the state is suing the company for not collecting sales tax, this implies that the site was not built to collect sales tax. However, who is to say that Illinois is the ONLY state that the site did not collect sales tax for? If Illinois is not the only state missing sales tax payments, then RG Enterprises is liable to receive lawsuits from every single state other than (or maybe even INCLUDING) North Dakota. The potential amount of lawsuits and legal trouble the company faces would have a Catastrophic impact on the business. That being said, this risk is implied and not confirmed, so the likelihood is only Likely, not Definite.

C. Cybersecurity and Regulatory risk due to the potential breach of the website – **Extreme**

The likelihood of this implicit risk is Possible and its impact Catastrophic. That makes the severity score of this risk **Extreme**. The case study does not indicate whether the eCommerce website has good cybersecurity practices or stores data responsibly.

Furthermore, there is a possibility that it might use a third-party vendor to store payment or personal data from customers, increasing the risk of a data breach. If the company has credit card information, it may make RG Enterprises legally liable for any PCI DSS or GDPR regulations. Since this is unconfirmed, the likelihood of this cybersecurity risk is just Possible, but the impact of a breach could mean more lawsuits, loss of customer base, identity theft, settlements, and more – which would have a Catastrophic impact on the company.

RISK MITIGATION

Having identified the risks RG Enterprises faces and assigned them a severity level, a risk mitigation strategy can be recommended. The four main strategies for risk mitigation are to **avoid**, **mitigate**, **accept**, or **transfer** the risk. The recommended risk mitigation strategies can be found in the table below, followed by an explanation and justification:

Risk	Recommendation	Risk	Recommendation
1. Cost of eCommerce site	Mitigate	7. Black Henna paste	Mitigate & Avoid
2. eCommerce site outages	Mitigate	8. Flooding forecast	Mitigate & Transfer
3. Lady Gaga content lawsuit	Mitigate & Avoid/Transfer	9. CEO's cousin DUI	Avoid
4. Politician libel lawsuit	Mitigate & Avoid/Transfer	A. T-shirt design flop	Mitigate & Accept
5. Can't make payroll	Mitigate	B. Mishandled sales tax	Mitigate
6. IL state tax lawsuit	Mitigate & Avoid	C. Potential data breach	Mitigate

JUSTIFICATION

1. Financial risk due to the cost of the eCommerce website – **Mitigate**

RG Enterprises needs to **Mitigate** this financial risk by reducing the cost associated with this service. The eCommerce website seems to be costing the company more money than it seems to generate. RG Enterprises can reduce the cost of this website by eliminating unnecessary features on the site, renegotiating the contract with the developer, or changing providers altogether. Given the other risks associated with the website, it is *highly* recommended that RG Enterprises severs ties with this offshore company and finds a less expensive service that is more consistent and provides more data security.

2. Reputational risk due to the outages of the eCommerce website – **Mitigate**

RG Enterprises needs to **Mitigate** this reputational risk by increasing the reliability of the website and eliminate the outages. The eCommerce website's outages need to stop right away to control the reputational damage, and RG Enterprises can demand that the offshore company fix it immediately. If the outages are due to fixes or services, RG can implement 'off hours' where the website is shut down for maintenance and not available for consumer use, such as Monday nights between 11pm and 4am. However, given the

other risks associated with the website, it is *highly* recommended that RG Enterprises severs ties with this offshore company and finds a less expensive service that is more consistent and provides more data security.

3. Legal risk due to the Lady Gaga copyright lawsuit – **Mitigate & Avoid/Transfer**

RG Enterprises needs to **Mitigate** this current legal risk. It cannot afford to accept the risk and enter a prolonged legal battle over copyright issues. It therefore needs to get the management company to either drop the lawsuit entirely or to settle it outside of court. RG Enterprises would need to hire a competent legal team to negotiate with the management company's legal team and minimize the financial burden of a settlement, perhaps satisfying the management company by putting out a public apology and pulling the product from its shelves.

Furthermore, it is *highly* recommended that RG Enterprises revises its business decision about manufacturing clothing with copyrighted material to eliminate the possibility of future lawsuits and **Avoid** this legal risk in the future. However, if the company is unwilling to change its merchandise and intends on using copyrighted material in the future, it should *at least* **Transfer** this risk by creating a fund specifically to deal with these kinds of lawsuits or try and find some kind of free speech liability insurance product that likely does not exist.

4. Legal risk due to the politician's libel lawsuit – **Mitigate & Avoid/Transfer**

RG Enterprises needs to **Mitigate** this current legal risk. Like with the Lady Gaga copyright lawsuit, the company needs to try to get the politician to drop the suit or settle outside of court, reducing the financial hit as much as possible. Hopefully the politician will accept a solution that does not involve compensation, such as a public apology, pulling the product from the shelves, maybe even some form of endorsement of the politician to its customer base.

Furthermore, it is *highly* recommended that RG Enterprises revises its business decision about manufacturing clothing with politically charged material to eliminate the possibility of future lawsuits and **Avoid** this legal risk in the future. However, if the company is

unwilling to change its merchandise and intends on continuing its historic pattern of making politically charged material in the future, it should *at least* **Transfer** this risk by creating a fund specifically to deal with these kinds of lawsuits or try and find some kind of free speech liability insurance product that likely does not exist.

5. Legal and Financial risk due to lack of money to make payroll – **Mitigate**

RG Enterprises needs to **Mitigate** this legal and financial risk by finding the money to make its payroll. The legal ramifications of not paying its employees can be avoided if the company continues to pay them. The high costs of the eCommerce site and the poor sales from the pre-produced inventory of Government Hooker T-shirts have put the company in a tough financial spot. Though there are important strategies that it could implement to stop the financial bleeding, it may have to proactively find means to acquire money. RG can get a loan to cover payroll, find an investor who is willing to give money to the business to cover its costs, encourage the CEO and other senior leaders of the company to forego their own pay for a while to afford to pay its other employees, or find some offshore company willing to buy the Government Hooker shirts from them regardless of its printed content (even if they buy it for a fraction of its total cost).

6. Legal risk due to the Illinois state sales tax lawsuit – **Mitigate & Avoid**

RG Enterprises needs to **Mitigate** this current legal risk. RG Enterprises needs to immediately pay whatever sales tax it owes the state of Illinois and hopefully get them to drop the lawsuit. If RG Enterprises cannot afford to immediately pay the sales tax, it needs to negotiate some kind of payment plan with the state – anything to avoid litigating an expensive lawsuit. RG Enterprises also needs to investigate the eCommerce site and its own sales processes to find out why the sales tax was not collected or paid to the state and correct it immediately so it can **Avoid** future legal issues due to mishandling sales tax.

7. Operational and reputational risk due to the Black Henna paste - **Mitigate & Avoid**

RG Enterprises needs to **Mitigate** this current operational and reputational risk. RG Enterprises needs to first find out if it is using the paste. If it is, it needs to stop using it

and get a new kind of non-staining dye for its future products. This would obviously eliminate customers' skin being dyed in the future, but also provide a safer condition for RG's employees who are in contact with the dye, reducing the operational risk. To reduce the reputational damage from using the dye, the company can put out an apology, recall the affected shirts, and even promote using new kinds of dyes. The company could use this incident as an opportunity to rebrand and try to **Avoid** future issues by using safe, organic, gentle dyes and materials. Marketing this operational shift can be the first step and cornerstone to changing the business' core strategy, appeal to a broader set of consumers, and pave a new way forward.

8. Physical risk due to the forecasted flooding – **Mitigate & Transfer**

RG Enterprises needs to **Mitigate** the immediate risk of flooding. For this particular flood risk, the company could use sandbags to try and block the flooding water from entering the building, remove critical assets and inventory from the location, or maybe just raise the equipment further off the ground or take it to a higher level or floor of the building to reduce flood damage. In the future, relocation would be a great (albeit expensive) solution, though it may make more financial sense for RG to **Transfer** the risk by getting flood insurance.

9. Legal risk due to the CEO's cousin (their "legal advisor") having a DUI – **Avoid**

RG Enterprises needs to **Avoid** this legal risk by cutting ties with this legal advisor. Even if the DUI does not stick, this questionable conduct is scandalous enough to prod getting new legal counsel. Not being further associated with this lawyer eliminates the legal risks associated with his illegal conduct.

A. Strategic risk due to poor sales of "Government Hooker" design – **Mitigate & Accept**

RG Enterprises needs to **Mitigate** this implicit strategic risk. The business strategy behind making the Government Hooker T-shirt was a flop and the T-shirt was not popular at all. Clearly it was not a good idea to pre-produce as many shirts as it made. This strategy is questionable and should be revised by the company. It would also be wise of RG to look at its historic line of products and assess whether it makes sense to

continue to manufacture this kind of product at all. Perhaps its gamble of taking itself to a larger market would pay off if it offered more mainstream, less extreme merchandise. If it is unwilling to part with this core business function, then perhaps it should consider adding other *less* provocative products to its offerings and obtain a more mass appeal. Venturing to a new market is a good strategy and the company should **Accept** the future risk of bringing its products to larger markets after revising its strategy.

B. Regulatory risk due to the site mishandling IL (only?) sales tax collection – **Mitigate**

RG Enterprises needs to **Mitigate** this implicit regulatory risk. Since it is likely that the Illinois-based customers bought merchandise through the eCommerce site, it seems reasonable to assume that the website is not set up correctly to collect the Illinois sales tax. However, if it is not configured to collect sales tax for ANY state, then RG Enterprises needs to have the eCommerce site fix this immediately or risk more lawsuits. This should be one of RG Enterprises' top priorities.

C. Cybersecurity and Regulatory risk due to the potential breach of the site – **Mitigate**

RG Enterprises needs to **Mitigate** this implicit cybersecurity and regulatory risk. The case study does not say how the eCommerce site handles customer data, but we know that customers need credit cards to order. If the eCommerce site is not securely storing credit card information, RG Enterprises might be responsible for violations of PCI DSS or even GDPR regulations (if it has customers in Europe). The offshore company might also be using third-party services such as cloud storage to back up the eCommerce site. These third-party services increase the vulnerability landscape for any data that is collected and deepens the risk for RG Enterprises. RG Enterprises needs to at the very least revise the contract it has with the offshore company and stipulate that it must comply with strict cybersecurity practices that apply to itself AND any vendors it works with. Given the numerous risks associated with this site, however, it may be more effective for RG Enterprises to cut ties with this company and get into business with a less expensive, more reliable, and more secure company.

RISK MONITORING

Once the Risk Mitigation strategies are implemented, RG Enterprises will have to monitor the effectiveness of these controls and strategies. Recommendations on Risk Monitoring are listed below, corresponding to each of the 12 risks.

1. Financial risk due to the cost of the eCommerce website

RG Enterprises needs to decide on a dollar amount or expense percentage that is acceptable to spend on the eCommerce site, such as \$20,000 annually or no more than 15% of the budgeted expenses. Once it has this target benchmark, the business can track the company's expenditures monthly and assess how closely the expense stays on budget. As the expenses are measured against the benchmark, changes can be made in a more timely fashion rather than after the situation escalates out of control. This will help to monitor the financial risks due to the cost of the eCommerce website even after the immediate mitigation strategies are implemented, providing a viable control for future expenditures.

2. Reputational risk due to the outages of the eCommerce website

After implementing the mitigation strategies, RG Enterprises can monitor this risk by auditing the website's performance weekly. This can be accomplished by requesting the vendor to provide weekly updates or by randomly testing the website's performance by an RG employee. By setting up an auditing policy or including it in a vendor's contract, this control will allow RG Enterprises to reduce much of this type of risk.

3. Legal risk due to the Lady Gaga copyright lawsuit

Establishing a quality control process at RG Enterprises will be a permanent way to control any legal risk due to future copyright infringement. With proper training and understanding of basic copyright legal definitions and regulations, a quality control team will be able to veto designs with copyrights and approve designs that are not legally liable. Implementing this control would also create a company culture that is aware of riskier designs and naturally bring more filtering to the design process. An occasional external audit to this process would help to further strengthen this control. Monthly or

quarterly reports from the quality control team listing the amount of vetoed and approved designs will be a great way to monitor the effectiveness of this control as well.

4. Legal risk due to the politician's libel lawsuit

Whether it changes its core business strategy of making politically charged content or not, RG Enterprises can monitor the legal risk of libel lawsuits by using a quality control team to review merchandise designs. Just like with the copyright material, training a quality control team to watch out for libelous or offensive material, rejecting designs that are risky, and producing reports with their findings and interventions will provide a permanent and effective control for this legal risk.

5. Legal and Financial risk due to lack of money to make payroll

RG Enterprises can create a biweekly budget with rough estimates of what payroll will cost for each biweekly period. This budget, along with frequent and consistent tracking of income and expenses, will help the company ensure that it always has enough cash on hand to pay its employees on time. The company could also decide on a benchmark quantity or percentage to track, such as always having a balance of at least \$2000 more than payroll by payday or always having 110% of the required payroll by payday. Setting this benchmark and monitoring how consistently the company follows it will be a great way to monitor this financial and legal risk.

6. Legal risk due to the Illinois state sales tax lawsuit

RG Enterprises will need to look at how it collects sales tax from its customers, especially its online customers. Creating a process whereby the sales tax is automatically on its eCommerce site and a way to track the amount RG owes to the state of Illinois in sales tax will be effective controls to keep this legal risk at bay. Weekly or monthly reports will allow the finances to be more easily monitored and ensure that sales tax is being paid consistently.

7. Operational and reputational risk due to the Black Henna paste

Establishing guidelines or requirements of the materials RG Enterprises uses to dye its merchandise is an important first step to prevent future issues. These guidelines can be included in vendor or supplier contracts to ensure that all dyes and products that RG uses are non-staining and safe for its employees and consumers. Periodic quality control auditing of assets and materials used will be a good way to monitor the effectiveness of these policies. As for the reputational risks, if the company chooses to rebrand with cleaner, safer materials, the effectiveness of this control can be measured by a decrease in complaints, increase of positive online and social media feedback, and maybe even the growth of its customer base.

8. Physical risk due to the forecasted flooding

Monitoring the effectiveness of the mitigation strategies will come with a post-flooding assessment of equipment, inventory, property, and other assets. Less damage will indicate effectiveness in the proposed controls. If the company gets insurance and experiences a flood in the future, measuring the losses against the insurance support will be the measure of how effective that control will have been.

9. Legal risk due to the CEO's cousin (their "legal advisor") having a DUI

Introducing a thorough vetting process for legal counsel would go a long way to mitigate future legal risk. Rotating members of the hiring committee, auditing the hiring criteria, and ensuring that legal counsel complies with a conduct expectation outlined in a contract or hiring process will help to monitor the effectiveness of these proposed controls.

A. Strategic risk due to poor sales of "Government Hooker" design

Tracking sales with specific metrics is a great way to monitor the effectiveness of a strategic shift in product design. Conducting thorough market research to see trends and try to maximize sales and profits by matching merchandise production to consumer demand is a great way to lead the design process, and auditing the accuracy of this market research will help ensure that this control remains effective as the market changes. Combining a research process with quality control and frequent tracking of sales will be the best way to monitor how effective this mitigation strategy is working.

B. Regulatory risk due to the site mishandling IL (only?) sales tax collection

As mentioned before, RG Enterprises needs to ensure that the eCommerce site or any future vendor's site adheres to the sales tax laws from every state and country it does business with. Ensuring the sales tax is automatically on its eCommerce site and a way to track the amount RG owes in sales tax will be effective controls to keep this regulatory risk at bay. Weekly or monthly reports will allow the finances to be more easily monitored and ensure that all sales taxes are being paid consistently.

C. Cybersecurity and Regulatory risk due to the potential breach of the site

To monitor how effective its vendors are at sticking to the contract agreements and cybersecurity practices, RG Enterprises can periodically research whether the vendor or its third-party vendors have been breached. It can also periodically audit the company to see if it is complying with safe cybersecurity practices (encryption, network security, secure storage, secure software, etc.). Research and auditing will provide great ways to monitor these controls for RG's current and future vendors.